

Operational Excellence & Profitability

Hospitality - Executive Decision Brief

Synthetic data only. Demonstrates analytical method, commercial reasoning and benefits governance; does not claim realised hotel or client results.

BUSINESS QUESTION

Why is near-budget revenue not converting into planned GOP?

Revenue vs Budget

HK\$(60k)

Near budget

GOP vs Budget

HK\$(1.50m)

Material profit gap

GOP Margin

33.3%

vs 38.6% budget

Guest Satisfaction

88

Guardrail = 88

DIAGNOSIS

Revenue is broadly on plan; the GOP shortfall is mainly cost-driven.

Driver	Impact	Read-through
Labour	HK\$(840k)	Agency dependency and excess hours are the largest controllable drivers.
F&B cost	HK\$(380k)	Cost % rose from 32.0% to 35.0%; activity explains only part.
ROOMS PVM Volume +375k Mix (265k) Price (470k) = Net (360k)		

RECOMMENDED SCENARIO

Moderate staged pilot

Risk-adjusted gross

HK\$3.76m

First-year cost

HK\$2.20m

First-year net

HK\$1.56m

First-year ROI

70.8%

Payback

7.0 months

Guest guardrail

PASS (>=88)

DECISION & CONTROLS

Approve a staged Moderate pilot in selected departments, subject to Finance validation of baseline and attribution rules. Track labour, F&B cost %, GOP and guest satisfaction; stop or redesign if guest satisfaction falls below 88 or if reported benefits cannot be reconciled to validated drivers.